

**LOCAL RULES FOR CERTAIN ADMIRALTY AND MARITIME CLAIMS OF THE
DISTRICT COURT OF THE VIRGIN ISLANDS**

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LRA A. General

A.1. Title and Citation. These Rules shall be known as the Local Rules for Admiralty or Maritime Claims and Asset Forfeiture Actions of the District Court of the Virgin Islands of the United States. They may be cited by the letters “LRA” followed by a hyphen and the capital letter and number that appears at the beginning of the appropriate section (*e.g.*, LRA-A.1). The capital letter is intended to associate the local admiralty rule with the corresponding letter in the Supplemental Rules for Admiralty or Maritime Claims and Asset Forfeiture Actions.

A.2. Effective Date. These Rules become effective on February 1, 2026.

A.3. Scope of Rules. These local admiralty rules apply only to actions in which the Supplemental Rules for Admiralty or Maritime Claims and Asset Forfeiture Actions apply. All other local civil rules are applicable in these cases, but to the extent that another local rule is inconsistent with the applicable local admiralty rules, the local admiralty rules shall govern.

A.4. Definitions. As used in the local admiralty rules, the following definitions apply:

- "Court" means the District Court of the Virgin Islands;
- "Clerk" means the Clerk of Court of the District Court and includes deputy clerks of court;
- "Judicial officer" means a United States District Judge or a United States Magistrate Judge;
- "Keeper" means any person or entity appointed by the marshal to take physical custody of and maintain the vessel or other property under arrest or attachment;
- "Marshal" means the United States Marshal and includes deputy marshals;
- “Newspaper of general circulation” may include an Internet newspaper provided that the Court is satisfied that the publication is likely to provide equivalent or better notice to interested parties;
- "Rule" followed by a numeral, *e.g.*, Rule 12, means a Federal Rule of Civil Procedure;
- "Rule" followed by a capital letter, *e.g.*, Rule C, means a Supplemental Rule for Admiralty or Maritime Claims and Asset Forfeiture Actions;
- "Substitute custodian" means the individual who, or entity that, upon motion and order of the Court, assumes the duties of the marshal or keeper with respect to the vessel or other property that is arrested or attached.
- “Supplemental Rules” means the Supplemental Rules for Admiralty or Maritime Claims and Asset Forfeiture Actions.

LRA B. ATTACHMENT AND GARNISHMENT: SPECIAL PROVISIONS

B.1. Found within the District. A defendant is not found within the District unless the defendant can be personally served therein by delivering process (i) in the case of an individual, to the individual personally, or by leaving a copy thereof at the individual's dwelling, house or usual place of abode with some person of suitable age and discretion; (ii) in the case of a corporation, trust or association, to an officer, trustee, managing or general agent thereof; (iii) in the case of a partnership, to a general partner thereof; and (iv) in the case of a limited liability company, to a manager thereof.

B.2. Affidavit that Defendant is Not Found Within the District. The affidavit required by Rule B(1) to accompany the complaint shall list the efforts made by and on behalf of plaintiff to find and serve the defendant within the district.

B.3. Use of Territorial Procedures. When the plaintiff invokes a procedure of the territory for attachment or garnishment, the process of attachment or garnishment shall identify the state or territorial law upon which the attachment or garnishment is based.

LRA C. ACTIONS IN REM: SPECIAL PROVISIONS

C.1. Intangible Property. The summons issued pursuant to Rule C(3) shall direct the person having control of intangible property to show cause no later than fourteen days after service why the intangible property should not be delivered to the court. For good cause shown, a judicial officer may lengthen or shorten the time. Service of the summons shall have the effect of an arrest of the intangible property and bring it within the control of the court. Service of the summons to show cause requires a garnishee wishing to retain possession of the property to establish grounds for doing so, including specification of the measures taken to segregate and safeguard the intangible property arrested. The person who is served may deliver or pay over to the marshal the intangible property proceeded against to the extent sufficient to satisfy the plaintiff's claim. If such delivery or payment is made, the person served is excused from the duty to show cause. A person who asserts a right of possession or ownership may show cause why the property should not be delivered to the Court as provided in Rule C(6)(a).

C.2. Publication of Notice of Action and Arrest. The notice required by Rule (C)(4) shall be published by the plaintiff once in a newspaper of general circulation in the judicial division where the seizure occurred. The notice shall contain:

- (1) The court, title and number of the action;
- (2) The date of arrest;
- (3) The identity of the property arrested;

- (4) The name, address, and telephone number of the attorney for plaintiff;
- (5) A statement that the claim of a person who has not been previously served and who is entitled to possession or who claims an interest pursuant to Rule C(6) must be filed within 14 days after publication;
- (6) A statement that an answer to the complaint must be filed as provided by Rule C(6)(a)(iv) of the Supplemental Rules for Admiralty or Maritime Claims and Asset Forfeiture Actions and that otherwise, default may be entered and the relief requested in the complaint may be ordered;
- (7) A statement that motions to intervene under Fed.R.Civ.P. 24 by persons claiming maritime liens or other interests shall be filed within a time fixed by the court; and
- (8) The name, address, and telephone number of the marshal.

C.3. Notice Requirements in Actions in Rem.

- (1) **Notice Required.** A party seeking a default judgment in an action in rem must satisfy the judicial officer that due notice of the action and arrest of the property has been given
 - (a) by the publication as required in LRA C.2;
 - (b) by service of the complaint and warrant of arrest upon the master or other person having custody of the property;
 - (c) by mailing notice to every other person who has not appeared in the action and is known to have an interest in the property. The party seeking a default judgment may be excused for failing to give notice to such "other person" upon a satisfactory showing that a diligent effort was made to give notice without success.
- (2) **Additional Notice Requirements in Vessel Arrest Cases**
 - (a) If the defendant property is a vessel documented under the laws of the United States, plaintiff must attempt to notify all persons identified as having an interest in the vessel as named in the United States Coast Guard certificate of ownership.
 - (b) If the defendant property is a vessel numbered under a state numbering system as required by Chapter 123 of Title 46, United States Code, plaintiff must attempt to notify the owner as named in the records of the issuing authority.
- (3) **Notice to Individuals.** The notification requirement for a particular individual is satisfied by mailing copies of the warrant of arrest and complaint to that person's address using any form of mail requiring a return receipt.

C.4. Entry of Default Judgment. After the time for filing a claim or answer has expired, the plaintiff may move for entry of default under Rule 55(a). Default will be entered upon showing by affidavit or affirmation of counsel that:

- (1) Notice has been given as required in LRA C.3(1); and,
- (2) Notice has been attempted as required by LRA C.3(2) where appropriate; and
- (3) The time for filing a claim or answer has expired; and,
- (4) No one has appeared to claim the property.

LRA D. POSSESSORY, PETITORY, AND PARTITION ACTIONS

D.1. Return Date. In an action under Rule D, a judicial officer may order that the claim and answer be filed on a date earlier than 20 days after arrest. The order may also set a date for expedited hearing of the action.

LRA E. ACTIONS IN REM AND QUASI IN REM: GENERAL PROVISIONS

E.1. Itemized Demand for Judgment. The demand for judgment in every complaint filed under Rule B or C shall allege the dollar amount of the debt or damages for which the action was commenced. The demand for judgment shall also allege the nature of other items of damage.

E.2. Salvage Action Complaints. In an action for a salvage award, the complaint shall allege the dollar value of the vessel, cargo, freight, and other property salvaged, and the dollar amount of the award claimed, the names of the principal salvors, and that the suit is instituted in their behalf and in behalf of all other persons associated with them.

In addition to these special pleading requirements, plaintiff shall attach as an exhibit to the complaint a list of all known salvors, and all persons believed entitled to share in the salvage. Plaintiff shall also attach a copy of any agreement of consortium available and known to exist among them collegially or individually.

E.3. Verification of Pleadings. Every complaint in Rule B, C, and D actions shall be verified upon oath or solemn affirmation or in the form provided by 28 U.S.C. Section 1746, by a party or by an authorized officer of a corporate party. If no party or authorized corporate officer is readily available, verification of a complaint may be made by an agent, attorney in fact, or attorney of record, who shall state the sources of the knowledge, information, and belief contained in the complaint; declare that the document verified is true to the best of that knowledge, information, and belief; state why verification is not made by the party or authorized corporate officer; and state that the affiant is authorized so to verify. A verification not made by a party or authorized corporate officer will be deemed to have been made by the party as if verified personally. If the verification was not made by a party or authorized corporate officer, any interested party may move, with or without requesting a stay, for the personal oath of a party or an authorized corporate officer, which shall be

procured by commission or as otherwise ordered.

E.4. Review by Judicial Officer. Unless otherwise required by the judicial officer, the review of complaints and papers called for by Rules B(1) and C(3) does not require the affiant party or attorney to be present. Any complaint presented to a judicial officer for review shall be accompanied by an order to the clerk which, upon signature by a judicial officer, shall direct the arrest, attachment, or garnishment sought by the applicant. The certification of exigent circumstances by the plaintiff or his attorney under Rules B and C shall consist of an affidavit or a declaration pursuant to 28 U.S.C. § 1746 describing in detail the facts establishing the exigent circumstances.

E.5. Instructions to the Marshal and Return of Service. The party who requests a warrant of arrest or process of attachment or garnishment shall provide instructions to the marshal. A person specially appointed by the Court under Rules B, C or G who has served process of maritime attachment and garnishment or a warrant of arrest that seized property shall promptly file a verified return showing the name of the individual on whom the process or warrant was served, the identity of the person or entity on whom service was made, the documents served, the manner in which service was completed (e.g., personal delivery), and the address, date, and time of service.

E.6. Property in Possession of United States Officer. When the property to be attached or arrested is in the custody of an employee or officer of the United States, the marshal will deliver a copy of the complaint and warrant of arrest or summons and process of attachment or garnishment to that officer or employee if present, or otherwise to the custodian or the property. The marshal will instruct the officer or employee or custodian to retain custody of the property until ordered to do otherwise by the Court or its designee.

E.7. Security for Costs. In an action under Rule B or C, a party may move, upon notice to all parties, for an order to compel an adverse party to post security for costs with the clerk pursuant to Rule E(2)(b). Unless otherwise ordered, the amount of security shall be \$500. The party so notified shall post the security within 14 days after the order is entered. The party who fails to post security when due may not participate further in the proceedings. A party may move for an order increasing the amount of security for costs.

E.8. Adversary Hearing. An adversary hearing following arrest or attachment or garnishment under Rule E(4)(f) shall be conducted by the court within three business days after a request for such hearing, unless otherwise ordered.

E.9. Filing of Inventory. The marshal or substitute custodian, if appointed, shall file an inventory of the vessel seized within five business days of the arrest.

E.10. Appraisal. An order for appraisal of property so that security may be given or altered will be entered upon motion. If the parties do not agree in writing upon an appraiser, a judicial officer will appoint the appraiser. The appraiser shall be sworn to the faithful and impartial discharge of the appraiser's duties before any federal or state officer authorized by law to administer oaths. The appraiser shall give at least one business day's notice of the time and place of making the appraisal to counsel of record. The appraiser shall promptly

file the appraisal with the Clerk and serve it upon counsel of record. The appraiser's fee normally will be paid by the moving party, but it is a taxable cost of the action.

E.11. Advancement of Estimated Costs of Seizure of Vessels. The first party who seeks arrest or attachment of a vessel or property aboard a vessel shall deposit funds with the marshal to cover the marshal's estimated expenses (as determined by the marshal), but not limited to, dockage, keepers, maintenance, and insurance. The marshal is not required to execute process until the deposit is made. The party shall advance additional sums from time to time, at the marshal's request, to cover estimated expenses. A party who fails to advance such additional sums may not participate further in the proceedings except by order of the Court. The marshal may, upon notice to all parties, petition the Court for an order to release the vessel if additional sums are not advanced within three business days after the request.

E.12. Intervenor's Claims and Sharing of Marshal's Fees and Expenses.

- (1) **Intervention Before Sale.** When a vessel or other property has been arrested, attached or garnished, and is in the hands of the marshal or substitute custodian, anyone having a claim against the vessel or property is required to present the claim as an intervening complaint. No motion for leave to file an intervening complaint is required. The intervening party shall serve a copy of the intervening complaint and warrant of arrest upon all parties to the action and shall forthwith deliver a conformed copy of the intervening complaint to the marshal, who shall deliver the copy to the vessel or custodian of the property. Intervenors shall thereafter be subject to the rights and obligations of parties, and the vessel or property shall stand arrested, attached, or garnished by the intervenor. An intervenor shall not be required to advance estimated costs of the marshal for seizure of a vessel as required by LRA E.7. Release of property arrested, attached, or garnished by an intervenor shall be done in accordance with Rule E.
- (2) **Sharing Marshal's Fees and Expenses.** An intervenor shall owe a debt to the first plaintiff, enforceable on motion, consisting of the intervenor's share of the marshal's fees and expenses in the proportion that the intervenor's claim bears to the sum of all the claims, unless the court otherwise directs. If a party plaintiff permits vacation of an arrest, attachment, or garnishment, remaining plaintiffs share the responsibility to the marshal for fees and expenses in proportion to the remaining claims and for the duration of the marshal's custody because of each claim. However, all deposits for this purpose shall be collected by the parties in advance and remitted in full to the marshal.
- (3) **Intervention After Sale.** After confirmation of sale and payment of the purchase price, any person having a claim against the vessel or property that arose before confirmation must present the same by intervening complaint, pursuant to LRA E.12(1), against the proceeds of the sale and may not proceed against the vessel unless the court shall otherwise order for good cause shown. Where an intervening complaint prays service of process *in rem*, the filing of such intervening complaint with the clerk shall be deemed to be a claim against such proceeds

without the issuance of *in rem* process, unless the court shall otherwise order for good cause shown. The court shall allow a period of at least 30 days after due confirmation of the sale for the submission of such claims.

E.13. Custody of Property.

- (1) Safekeeping of Property.** When a vessel or other property is brought into the marshal's custody by arrest or attachment, the marshal shall arrange for adequate safekeeping, which may include the placing of keepers on or near the vessel. A substitute custodian in place of the marshal may be appointed by order of the court. Notice of the application to appoint a substitute custodian must be given to all parties and the marshal. The application must show the name of the proposed substitute custodian, the location of the vessel during the period of custody, and the proposed insurance coverage.
- (2) Substitute Custodian Fees.** A judicial officer or the Clerk of the Court may tax as costs the reasonable fees of the court-appointed substitute custodian. A bill of costs shall be filed in the case and, upon allowance, included in the judgment or decree.
- (3) Cargo Handling, Repairs, and Movement of the Vessel.** Following arrest or attachment of a vessel, cargo handling shall be permitted to commence or continue unless otherwise ordered by the Court. No repairs to or movement of the vessel shall take place without order of the Court. The applicant for an order shall give notice to the marshal, the substitute custodian if one has been appointed by the Court, and to all parties of record.
- (4) Claims by Suppliers for Payment of Charges.** A person who has furnished supplies or services to a vessel, cargo, or other property in custody of the Court, who has not been paid, and who claims the right to payment as an expense of administration, shall submit an invoice to the Clerk in the form of a verified claim at any time before the vessel, cargo, or other property is released or sold. The supplier must serve copies of the claim on the marshal, substitute custodian if one has been appointed, and all parties of record. The Court may consider the claims individually or schedule a single hearing for all claims.

E.14. Sale of Property.

- (1) Notice of Sale.** Notice must be given by the marshal of the sale of property by order of the Court. Such notice shall be by advertisement in a newspaper of general circulation within the District in which the sale will take place, unless otherwise ordered by the Court. Such notice shall be published once a week for two consecutive weeks, with the last date of publication not more than 20 or less than seven days immediately preceding the sale. The notice must contain:
 - (a)** The caption of the case;
 - (b)** A concise description of the vessel to be sold;
 - (c)** The date, place, and time of sale;

- (d) Notice that written bids can be made with a stated deposit in terms of percentage of the bid; and
 - (e) The name and address of the plaintiff's counsel from whom further information may be obtained.
- (2) **Payment of Bid.** These provisions apply unless otherwise ordered in the order of sale: The person whose bid is accepted shall immediately pay the marshal the full purchase price if the bid is \$1000 or less. If the bid exceeds \$1000, the bidder shall immediately pay deposit of at least \$1000 or 10% of the bid, whichever is greater, and shall pay the balance within three business days after the day on which the bid was accepted. If an objection to the sale is filed within that three business day period, the bidder is excused from paying the balance for the purchase price until three business days after the sale is confirmed. Payment shall be made in cash, by certified check, or by cashier's check.
- (3) **Default.** If the successful bidder does not pay the balance of the purchase price within the time allowed, the bidder is deemed to be in default. In such a case, the marshal may accept the second highest bid or arrange a new sale. The defaulting bidder's deposit shall be forfeited and applied to any additional cost incurred by the marshal because of the default, with the balance being retained in the registry of the court awaiting its order. Provided, however, that if (a) the successful bidder pays the marshal the cost of keeping the property from the due date until the balance is paid and any additional costs incurred by the marshal and (b) the marshal has not yet accepted the second highest bid or held a new sale, then the marshal may complete the sale to the successful bidder.
- (4) **Report of Sale by Marshal.** At the conclusion of the sale, the marshal shall forthwith file a written report with the court of the fact of the sale, the date, the price obtained, the name and address of the successful bidder and any other pertinent information.
- (5) **Time and Procedure for Objection to Sale.** An interested person may object to the sale by filing a written objection with the clerk within 3 business days following the sale, serving the objection on all parties of record, the successful bidder, and the marshal, and depositing such sum with the marshal as determined by him to be sufficient to pay the expense for keeping the property for at least 7 days. Payment to the marshal shall be in cash, certified check, or cashier's check.
- (6) **Confirmation of Sale.** If no objection to the sale is filed within three business days, the Court shall confirm the sale within five business days after the sale. If an objection to the sale has been filed, the court shall hold a hearing for the confirmation of the sale. The marshal shall transfer title to the purchaser upon the order of the court

(7) Disposition of Deposits.

- (a) Objection Sustained.** If an objection to the sale is sustained, sums deposited by the successful bidder will be returned to the bidder forthwith. The sum deposited by the objector will be applied to pay the fees and expenses incurred by the marshal in keeping the property until it is resold, and any balance remaining shall be returned to the objector. The objector will be reimbursed for the expense of keeping the property from the proceeds of a subsequent sale.
- (b) Objection Overruled.** If the objection to the sale is overruled, the sum deposited by the objector will be applied to pay the expense of keeping the property from the day the objection was filed until the day the sale is confirmed, and any balance remaining will be returned to the objector forthwith. If the deposit was insufficient to cover the costs of keeping the property, the Court may order the objector to pay the marshal the deficiency.

E.15. Discharge of Stipulations for Value and Other Security. When an order is entered in any cause marking the case dismissed or settled, the entry shall operate as a cancellation of all stipulations for value or other security provided to release the property seized that were filed in the case, unless otherwise provided in the order or by the Court. Unless otherwise provided in the order or by the Court, the Clerk shall forthwith return the originals of any stipulations for value or bonds held by the Court, along with any cash security held by the Court, to the party that furnished same.

LRA F. LIMITATION OF LIABILITY

Rule F.1. Security for Costs. The amount of security for costs under Rule F(1) shall be \$500. It may be combined with the security for value and interest, unless otherwise ordered.

F.2. Monition, Injunction, and Publication of the Notice. Upon the plaintiff's filing of an Ad Interim Stipulation of Value or otherwise posting a deposit or transfer in compliance with Rules F(1) and F(2), the Court shall immediately issue a Monition and Injunction pursuant to Rule F(3). The Monition and Injunction shall: enjoin the further prosecution of any action or proceeding against the plaintiff or the plaintiff's property with respect to any claim subject to limitation in the action; order that all persons asserting claims with respect to which the complaint seeks limitation to file and serve their respective claims pursuant to Rule F(4); order that public notice be effectuated by the plaintiff pursuant to Rule F(4); and approve the Ad Interim Stipulation of Value or other form of deposit, transfer or security if it meets the requirements of Rules F(1) and F(2) and LAR-F.4 and/or F.5. This Local Rule does not affect a claimant's right to assert the insufficiency of the fund or security under Rule F(7).

F.3. Publication. Upon the issuance of the Monition and Injunction by the Court, the plaintiff shall effect publication of the notice in accordance with the provisions set forth in

Rule F(4). Unless otherwise ordered by the Court, publication shall be in a newspaper of general circulation in the judicial division where the petition is filed.

F.4. Contents of Ad Interim Stipulation of Value. An Ad Interim Stipulation of Value

- (1) must be signed by all petitioners;
- (2) must state that the petitioners will deposit the amount of the stipulation in the form of a bond or other security acceptable to the Court with interest on the amount of the stipulation as required by Rule F(1) within 15 days of demand thereof by any claimant or as otherwise ordered by the Court;
- (3) shall stand as security for all claims in the limitation of liability proceeding in lieu of said bond or alternative security until such time as any Claimant demands the posting of a bond or the Court so orders.

F.5. Letter of Undertaking as Security. A letter of undertaking or similar promise offered as the deposit set forth in Rule F(1)(a)

- (1) must state that it will cover the interest required by Rule F(1) on the amount specified as the value of the vessel and her pending freight;
- (2) must include, unless alternative security is provided, the security for costs specified in LAR-F.1;
- (3) may not be subject to a reservation of rights under an insurance policy;
- (4) may not exclude a deductible or self-insured retention;
- (5) may be limited to insurance policy limits only if the value of the vessel for limitation purposes is less than the policy limits (or additional security is provided if the value of the vessel for limitation purposes exceeds the policy limits).

F.6. Security upon Redetermination of the Owner's Interest in Vessel. If the Court determines that the security for the vessel is insufficient in accordance with Rule F(7) and orders that the deposit or security be increased, the vessel owner shall provide the additional security within 14 days or such other time as the Court sets. The deadline set under this rule may be extended for good cause shown. If the additional security is not provided by the required deadline, the limitation of liability action may be dismissed, without prejudice.

F.7. Order of Proof at Trial. In an action where vessel interests seek to limit their liability, pursuant to 46 U.S.C. § 30501 *et seq.*, the claimants shall offer their proof first, whether the right to limit arises as a claim or as a defense.